

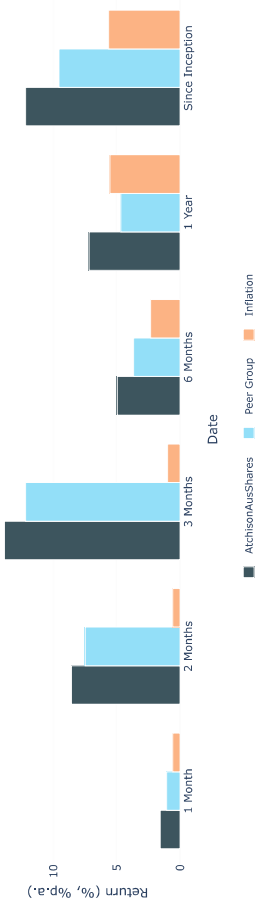
Atchison Australian Shares - Portfolio Update 31 January 2024

PORTFOLIO PERFORMANCE

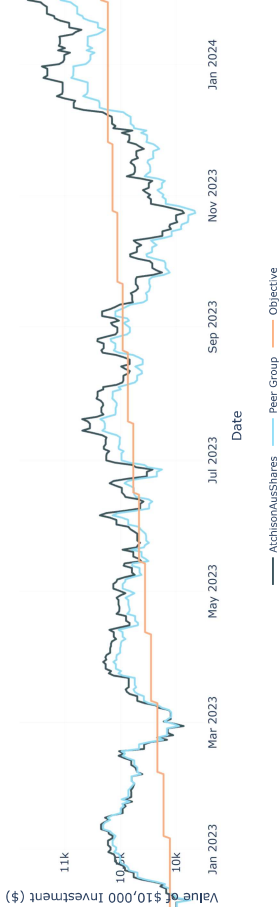
Atchison Australian Shares portfolio delivered +1.6% for the month, and +13.9% over the quarter. One of our active positions within the fund, Schroder WIS Australian Equities Fund, contributed to monthly outperformance, benefiting from large cap positioning, quality as a factor, security selection (Schroder's largest holding, Alumina Ltd, lifted +29% for the month ending 31st January 2024).

Over 12 months, Atchison's Australian Shares delivered +7.2%, beating the Peer Group (cohort average made up of 95 equivalent Australian share portfolios), for the month, quarter and year as of the 31st of January 2024. Key drivers boosting 12-month outperformance include, Large Caps, i.e. stocks within the ASX20 and ASX50. The Information Technology sector was also a standout, delivering 25.8%, whilst consumer staples lagged delivering -4.4%. All performance metrics listed above are net of appointed investment management fees but before tax.

Returns vs Benchmarks



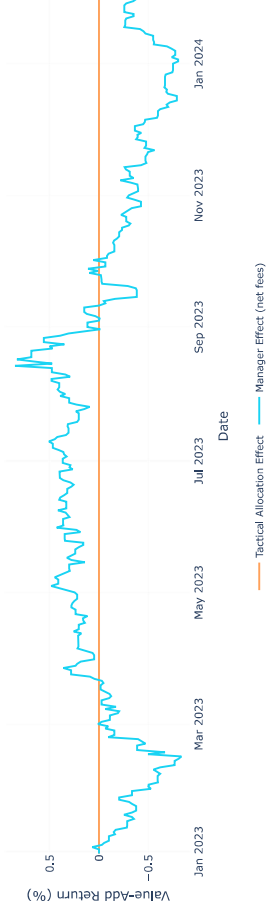
Performance of \$10,000 Investment



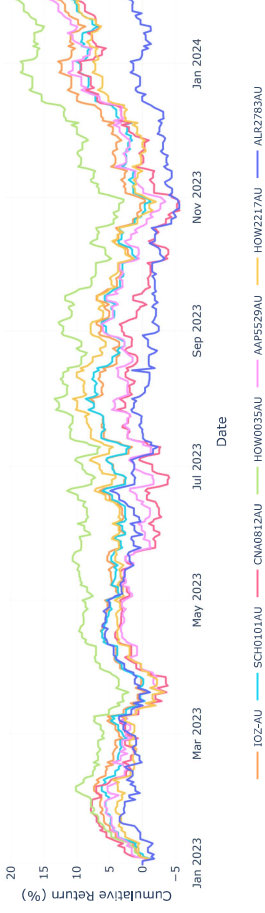
KEY CONTRIBUTORS, DETRACTORS & ATTRIBUTION

- Modest returns of Australian shares over the last 12 months have been a function of generally poor earnings yields and earnings growth profile of the materials sector.
- A similar story was seen in the other major sector financials, which posted modest earnings growth. Information Technology was the best performing asset class, however the Australian share market suffers from a very small and limited Information Technology sector - which limited its impact through 2023.
- The portfolio has been positioned with a mid and small cap bias; where we see relative value

Attribution Analysis of Asset Allocation vs Manager/Security Selection

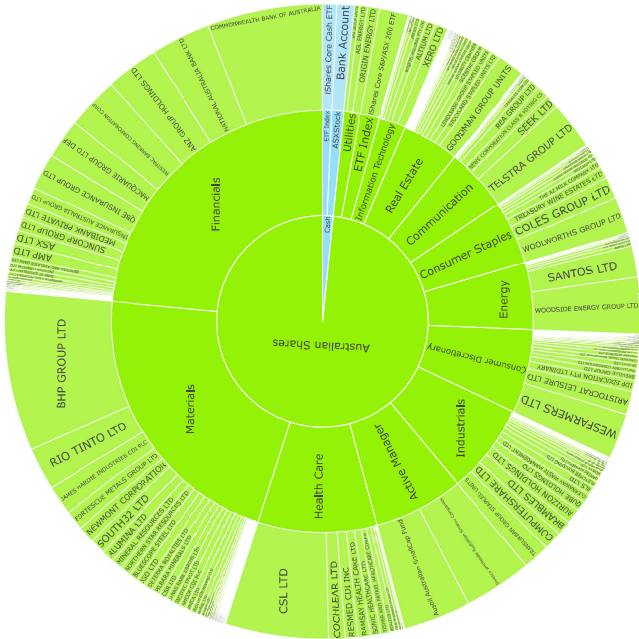


Aggregate Returns of Underlying Sector Sleeves

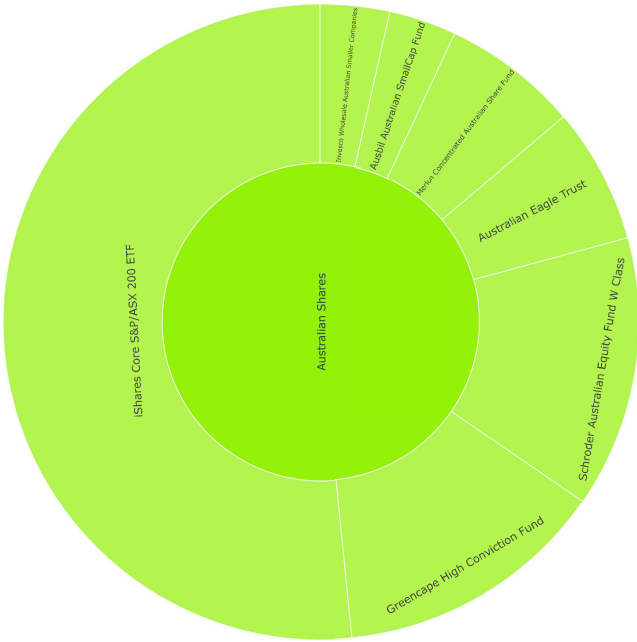


PORTFOLIO CONSTRUCTION

Portfolio Construction - Look Through Exposures

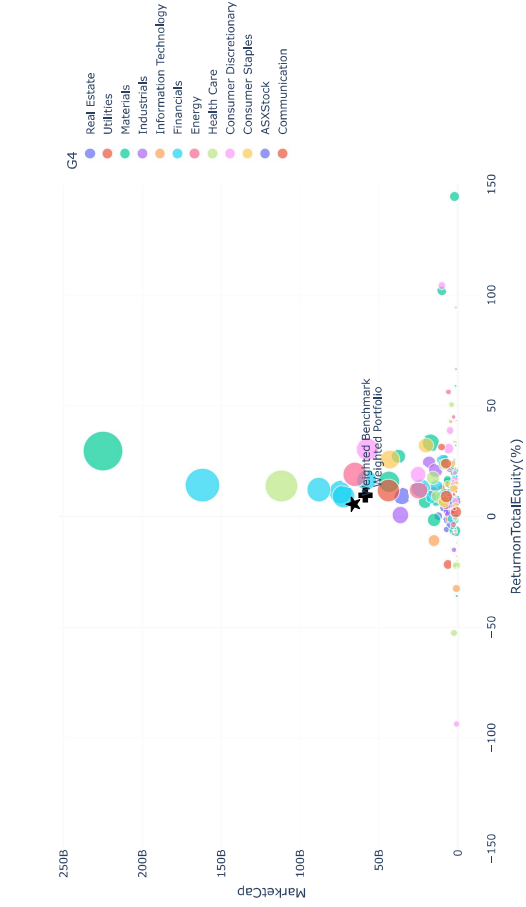


Portfolio Construction - Manager Level

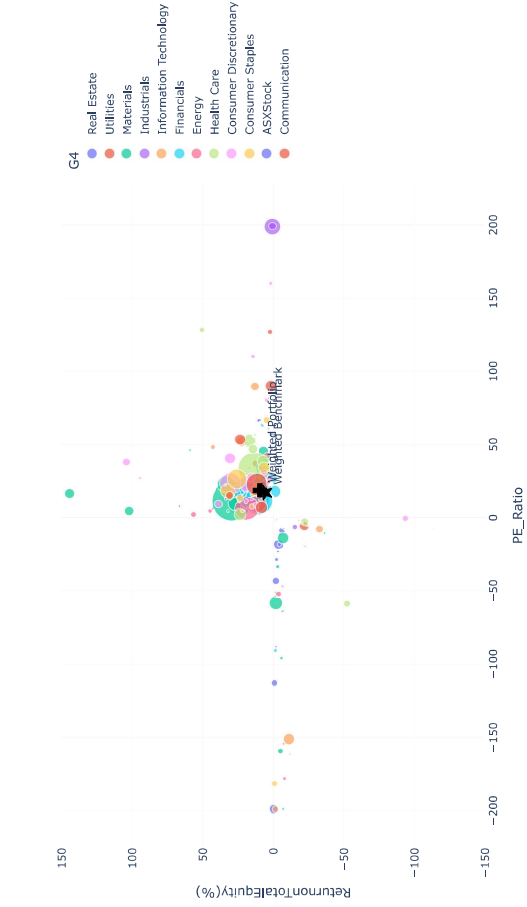


PORTFOLIO LOOK THROUGH ANALYSIS

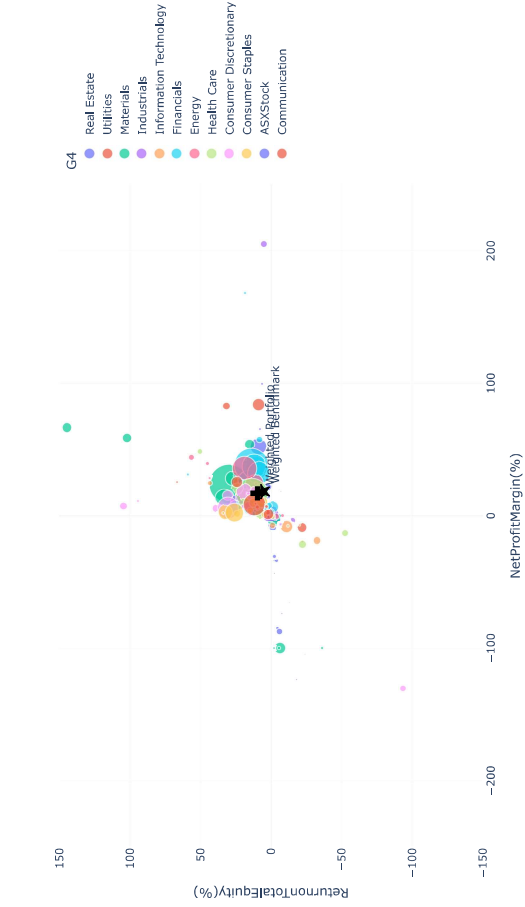
Look Through Exposures - Company Size vs ROE (Dot size = Portfolio Weight; Dot Colour = Industry)



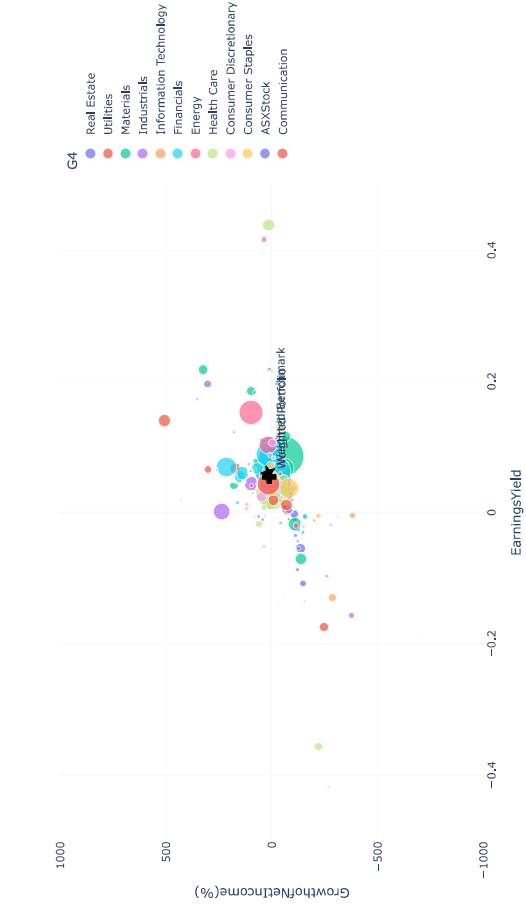
Look Through Exposures - ROE vs Price/Earnings Ratio (Dot size = Portfolio Weight; Dot Colour = Industry)



Look Through Exposures - ROE vs Profit Margin (Dot size = Portfolio Weight; Dot Colour = Industry)

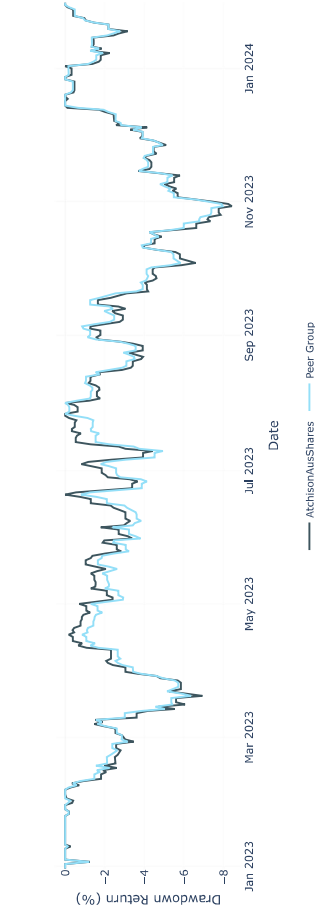


Look Through Exposures - Earnings Growth vs Earnings Yield (Dot size = Portfolio Weight; Dot Colour = Industry)

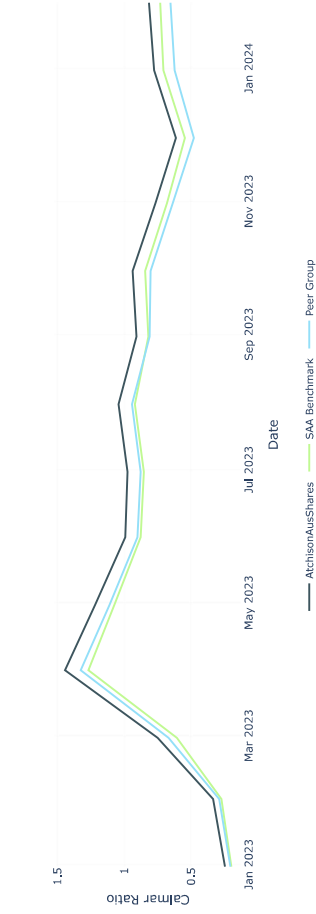


RISK ANALYSIS

Drawdown Periods & Recovery



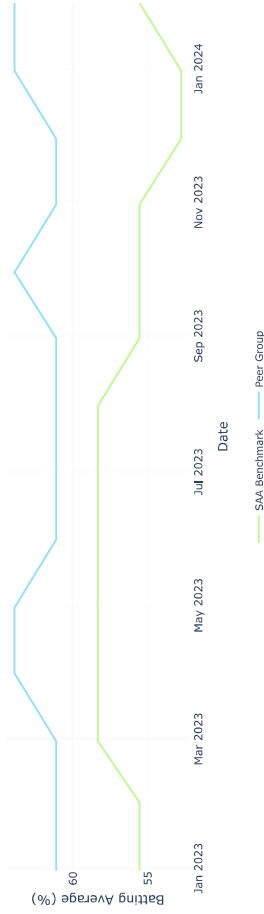
Rolling 3yr Calmar Ratio - Return over Drawdown Risk



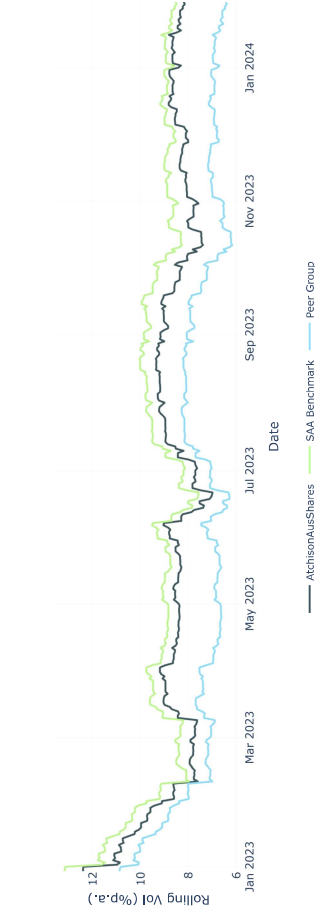
Rolling 3yr Tracking Error - Level of Relative Risk Being Taken



Rolling 3yr Batting Average - % of Months Outperforming Benchmark Return



90 Day Volatility



Risk Metrics

Risk Measure	AtchisonAusShares		Peer Group
	AtchisonAusShares	SAA Benchmark	
30 Day Volatility	8.6		6.58
90 Day Volatility	8.2		6.44
12 Month Volatility	11.43		10.65
3 Year Volatility	13.08		12.22
3 Year Max Drawdown	-12.59		-12.32
3 Year Sharpe Ratio	0.78		0.66
3 Year Calmar Ratio	0.82		0.65
3 Year Information Ratio			0.38
3 Year Tracking Error			1.29
3 Year Batting Average			63.89

MARKET OVERVIEW

Australian inflation is falling faster than the RBA expected (except for insurance and rents) inflation fell to 4.1% year-on-year in the December quarter, well below the RBA's forecast of 4.5%, and a peak of 7.8% a year ago.

Global economic data released in January highlighted the divergence between weakness in Europe and the strength in the US. US GDP growth surprised on the upside at an annualised 3.3% pace in the December quarter. Eurozone GDP was flat both in the quarter and year.

January 2024 saw a mixed bag of returns from asset classes following the stellar returns in the final quarter of 2023. Segments of risk assets were buoyed by as economic data further fuelled a "soft landing." But optimism was slightly tempered at the end of the month when the US Federal Reserve (US Fed) struck a less dovish tone in January.

Developed market equities (ex-Australia) were up +4.5% (unhedged), while emerging market equities were down -3.5%, despite newly announced stimulus from the People's Bank of China (PBOC).

Core government bonds reversed some of last year's gains, as markets scaled back the number of rate cuts priced for 2024. Global government bonds were down -0.3% over the month, but it was UK Giltis that remained the major laggard, as sticky services inflation and still elevated wage growth made the prospect of imminent rate cuts from the Bank of England (BoE) look unlikely.

Global real estate investment trusts, which are sensitive to interest rates, struggled as markets pared back the magnitude of rate cuts priced for the US Fed in 2024 and ended the month down -3.4% (hedged).

Commodities continued to perform well, with the broad Bloomberg Commodity Index rising +2.9% in Australian dollar terms over January. Oil prices rallied as tensions in the Middle East worsened and disruption to shipping through the Suez Canal continued. Drone attacks on Russian energy infrastructure added to the uncertainty in the global oil market.

Lower Inflation Here We Come! After two years of increasing and higher interest rates, inflation seems to be waning. As we have experienced, high inflation is bad for investment markets because it means, higher interest rates, higher economic ambiguity, and for shares, a reduced quality of earnings. All of which means that shares tend to trade on lower price to earnings multiples (PEs) when inflation is high. Conversely, when rates are falling, borrowing costs reduce, spending increases, and future company profits become less valuable especially on new or growing companies where most profits are still years away, and P/E multiples increase, as witnessed with some of the technology companies.

For conservative investors looking for income in 2024, rate cuts, as opposed to rate hikes, call for a different approach to investing. Here are some investments to think about when rates inevitably begin to come down: Term deposits, Long dated government bonds, Real Estate Investment Trusts (A-REITs & G-REITs), Preference shares, High dividend paying companies (fully franked)

DOWNLOAD .PDF VERSION



HOW TO INVEST?

Our SMA strategies are currently available on the following platforms:



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